



Central Bank
of Armenia

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Transparency Report

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A. Minutes of the Central Bank of Armenia Board Meeting on the Refinancing Rate

August 5, 2025

Present at the meeting: Deputy Governor Armen Nurbekyan; and Board Members Hasmik Ghahramanyan, Davit Nahapetyan, Artak Manukyan, Levon Sahakyan, and Narek Ghazaryan.

Assessment of Current and Underlying Economic Conditions

The meeting of the Board of the Central Bank of Armenia started with the Staff presentation of current and underlying global and domestic economic conditions. The presentation addressed developments in the external environment, inflation, and the real, fiscal, financial, and monetary sectors of the economy; touched upon the key risks and issues, as presented in various scenarios summarized in the Taxonomy of Scenarios; and highlighted sources of policy-relevant uncertainty. The current and underlying global and domestic economic conditions are summarized in Part B of the Executive Monetary Policy Statement.

Deliberations around Key Risks, Uncertainties, and Scenarios

Following the discussion of current and underlying macroeconomic developments in the external and domestic sectors, the Board proceeded to addressing the broad spectrum of risks in light of key uncertainties, deliberating their implications for monetary policy, and making a decision on the policy rate. As a starting point for discussions, the Board discussed current market expectations of the future path of the policy rate. Based on the CBA's most recent surveys, financial market participants expect the CBA policy rate to gradually decline to 6.25% over the next eight decisions.

On the one hand, the Board has evaluated scenarios where underlying developments would require a tighter policy stance relative to current market expectations in order to contain excess demand, anchor inflation expectations to the target and guarantee the price stability objective (Case A-type scenarios). These types of scenarios primarily relate to risks of higher global and domestic neutral rates, country risk premium uncertainty, uncertainty surrounding regional geopolitical developments, and risks of increasing aggregate demand conditions forming. On the other hand, the Board also evaluated scenarios where underlying developments would require the policy rate to follow a more rapid and aggressive downward path than what is currently priced in markets in order to sustainably bring inflation back to target in the medium-term horizon (Case B-type scenarios). These types of scenarios include risks of an uneven weakening of certain sectors of the economy amid adjusting external demand; concerns regarding a weak demand environment forming and deepening in the economy due to the gradual decline (adjustment) of real estate prices; and overall concerns about the outlook for the global economy.

Against the backdrop of the broader set of risks, Board members deliberated their individual views on the key sources and types of risks and uncertainty that were most relevant for making a prudent policy decision. These discussions took place in the context of "least regrets" decision-making, in terms of seeking to minimize potential losses that could arise from these scenarios materializing.

Board members discussed uncertainties around underlying economic conditions and policies in the United States, with implications on Fed policy. Board members were in unison in expressing concern about signs of weakening consumption and labor market conditions in the US in the second quarter. Narek Ghazaryan emphasized that this could point to risks of further slowdown or even recession in the US. At the same time, Board members shared concerns about the implications of US fiscal policy on the country's debt sustainability and neutral rates, which could impact neutral rates in, and capital flows to, emerging market economies. Addressing weakening demand conditions in the EU, Russia, and China, Board members agreed that risks of a worsening global demand outlook had increased. Noting rising global food prices amid persistent supply issues, Narek Ghazaryan, Davit Nahapetyan, and Artak Manukyan emphasized that a persistence of these trends could transmit inflationary impacts on Armenia. Conversely, Hasmik Ghahramanyan argued that while the global environment was likely to remain inflationary, it could have more muted impacts on domestic inflation.

Discussions then touched upon key sources of uncertainty about underlying domestic economic conditions. While there appear to be fewer imbalances between aggregate demand and aggregate supply relative to previous years, all Board members emphasized uncertainty about potential increases in demand conditions and the persistence of these trends, as well as implications on a potentially higher output gap. On the one hand, all Board members noted that growth had ticked up meaningfully in Q2, driven primarily by construction and services. While all Board members emphasized concerns about signs of accelerating

demand, they raised questions about whether these trends would prove to be persistent over the medium term. They additionally emphasized uncertainty around the extent to which this uptick in growth would feed into inflationary pressures in the domestic economy. Moreover, Armen Nurbekyan highlighted that the possible emergence of new positive trends in external demand could be a fundamental source for further current account adjustment and exchange rate appreciation pressures. Further, Levon Sahakyan and Artak Manukyan noted that the real estate market did not exhibit any significant signs of slowing down, suggesting that risks stemming from the possible macroeconomic implications of a potential correction in the real estate market had somewhat moderated. Board members noted that recent months had seen a sharp increase in tourism flows, reversing trends observed since 2023 and pointing to risks of acceleration in inflation for services highly exposed to external demand. At the same time, Artak Manukyan emphasized that attention must be paid to the structure of tourism and per capita expenditures, in the context of future demand dynamics. Additionally, both Hasmik Ghahramanyan and Narek Ghazaryan noted that the persistence of high lending growth to both households and businesses could create further upside pressures to both demand conditions and inflation, which could be offset somewhat by growth in debt servicing costs.

Turning to the labor market, Board members generally agreed that stabilizing wage growth, as well as trends in labor supply and demand, pointed to a continued balancing of labor market conditions. At the same time, Artak Manukyan emphasized that there remains considerable uncertainty about the state of labor supply expansion, particularly relating to the pace of integration of forcibly displaced compatriots from Nagorno-Karabakh into the labor market. Hasmik Ghahramanyan argued that while uncertainty remained high, various indicators suggested that labor market conditions continued to cool. On the other hand, Levon Sahakyan argued that low unemployment and broad-based, albeit stable, wage growth suggested labor market conditions remained relatively strong, supporting the broader story of still-strong demand conditions and economic activity. Regarding fiscal policy developments, Board members agreed that the recent trends of higher pace of capital and current expenditures, could pose risks of a widening fiscal deficit, with implications on domestic demand and the country risk premium.

Turning to inflation, all Board members noted that sustained supply-side factors, including the combination of higher-than-average increases in seasonal food prices and increased imported food prices, had contributed meaningfully to the recent uptick in inflation. At the same time, Narek Ghazaryan noted that while inflation for certain services exposed to external demand was increasing somewhat amid growth in tourism, these patterns were not yet worrying and were not yet widespread in the services sector.

Summarizing their views, the Board agreed that the greatest policy imperative lies in accurately assessing which types of risks are most relevant and dangerous in terms of their scale and impact on the economy, and what types of policy errors the Board is most focused on avoiding from a least regrets perspective. On the whole, the Board members were in unison that the Case A-type continued to dominate and had increased somewhat since the recent decision, while virtually no new Case B-type risks had emerged. From a Case A perspective, and as noted above, Board members emphasized uncertainty related to the country risk premium and neutral interest rates stemming from both global, geopolitical, and fiscal policy-related considerations, as well as risks of excess demand conditions forming. As for Case B-type risks, the Board pointed to risks of an uneven weakening of certain sectors of the economy, as well as the concerns regarding a weak demand environment forming and deepening in the economy due to the gradual decline (adjustment) of real estate prices, and overall concerns about the outlook for the global economy.

Policy Decision

In the context of its risk management framework, and amid significant uncertainty, the Board of the CBA emphasizes the importance of minimizing the losses that could stem from these and other scenarios materializing. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure price stability.

Considering the aforementioned risks and uncertainties, Board members were in unison that the concerns stemming from Case A-type risks continued to dominate. One group of Board members, including Armen Nurbekyan, Davit Nahapetyan, Hasmik Ghahramanyan, Levon Sahakyan, and Narek Ghazaryan, argued that while the current policy stance remained appropriate amid uncertainty, the policy rate may need to follow a higher path over the medium term relative to market expectations in order to ensure the price stability objective. On the other hand, Artak Manukyan suggested that an immediate rate increase would be necessary in order to minimize the losses that could emerge from the Case A-type scenarios materializing.

As a result, the Board of the Central Bank of Armenia voted to leave the policy rate unchanged (see Table 1). The Board will continue to monitor risk scenarios, and stands ready to take adequate actions to ensure that the price stability objective of 3 percent inflation over the medium-term horizon is met.

Individual vote explanations, submitted by each Board member at the time of their vote, are presented in Section B of this report.

Table 1. Summary of Votes on the CBA Refinancing Rate by Individual Board Member
August 5, 2025 Decision

Board Member	Vote
Narek Ghazaryan	Keep unchanged
Levon Sahakyan	Keep unchanged
Artak Manukyan	Increase by 25 basis points
Davit Nahapetyan	Keep unchanged
Hasmik Ghahramanyan	Keep unchanged
Armen Nurbekyan	Keep unchanged

B. Final Vote Submissions

August 5, 2025 Decision

Final Vote Submissions are provided by each Board member at the time that they cast their vote for the policy decision. These submissions are intended to succinctly and directly explain the key risks and issues that each Board member considered as part of their rationale for casting their vote.

Deputy Governor Armen Nurbekyan

Taking into account the recent economic and financial developments in Armenia over the past few months, discussions with other members of the CBA Board during current policy cycle, as well as a thorough analysis of the main sources of risks and uncertainty, I vote in favor of keeping the policy rate unchanged. Significant uncertainty in the domestic and global economies persists. Uncertainties regarding economic activity in the United States have increased, while some short-term effects of tariff changes have begun to impact US inflation. At the same time, uncertainty regarding the long-term neutral interest rate in the U.S. persists in the context of the medium-term outlook for the budget deficit, creating upward pressures on the neutral rate going forward. Case A-type risks related to regional developments also persist, creating risks for Armenia's risk premium and, consequently, for the neutral interest rate. In other leading economies, particularly in the EU and China, risks of a slowdown in economic activity remain. The acceleration of inflation in the domestic economy remains an important issue to monitor. Economic activity continues to be somewhat concentrated in the services and construction sectors, while the recent acceleration in activity has been driven mainly by demand-side factors. The expansion of demand, along with high credit growth, increases the likelihood of a positive output gap, which should remain in focus. Fiscal policy represents one of the main Case A-type risks, particularly in the short term, due to the potential expansionary impacts on demand and the potential increase in the risk premium driven by rising public debt. At the same time, Case B-type risks in the domestic economy mainly stem from a potential weakening of activity in the construction and mortgage markets, which has not yet materialized. In summary, since the last policy decision, Case A-type risks have increased both domestically and globally. Taking into account the potential upward adjustment of the output gap and the risk of a higher neutral interest rate, the decision to keep the policy rate unchanged reflects the increased likelihood of Case A type scenarios, as well as the significant economic costs that could arise from a monetary policy error should these risks materialize.

Board Member Hasmik Ghahramanyan

At the Central Bank Board meeting on August 5, 2025, I voted in favor of keeping the policy rate unchanged. This decision was based on my assessment of current economic conditions, the effects of previously implemented monetary policy, my outlook for the economy, and scenario-based developments shaped by various risks (both economic and geopolitical) in external and domestic economies, guided by the commitment to bring inflation closer to the 3% target. Developments in the global economy point to certain risks of demand weakening, which, in some countries, are accompanied by risks of inflation acceleration. Substantial uncertainty persists around U.S. trade policy and its macroeconomic implications. In addition, uncertainty remains regarding long-term interest rates. Under such circumstances, major central banks around the world are likely to maintain current monetary conditions, and some may possibly ease them. Domestic economic developments may support an expansion of aggregate demand in the foreseeable future; however, downside risks to demand also exist. Fiscal policy signals are non-inflationary in the near-term, and I do not observe substantial inflationary pressures stemming from the labor market. In this context, I find it essential to balance the risks that could lead to volatility in the inflation outlook, particularly those stemming from Case A type of risks, which carry the potential to generate economic imbalances.

Board Member Davit Nahapetyan

In light of the analysis presented by the macroeconomic team regarding recent economic and financial developments, as well as the in-depth discussions held with fellow Board members on the policy rate, I am voting to keep the policy rate unchanged at its current level. Mild but persistent inflationary pressures on the Armenian economy are being observed from the external environment, partly driven by a moderate increase in the FAO index. Additional upward pressures, albeit limited, are also being observed from international commodity markets. While these developments and risks are mostly supply-side in origin, they may still influence inflation expectations in Armenia. Despite some signs of weakening in global demand, I assess that the external

risks affecting the Armenian economy are predominantly inflationary. Domestically, economic activity in Armenia remains elevated. Given the sustained pace of credit growth and under uncertain conditions surrounding the fiscal policy, this continues to carry some inflationary risks. On the other hand, recent signs of wage moderation falls more clearly within the domain of disinflationary forces. Although inflation remains within the target range, a detailed assessment of current economic developments and fundamental conditions leads to the conclusion that, at present, Case A-type of risks are dominant, and the likelihood of their materialization is higher than that of Case B-type of risks. The fact that inflation has recently moved into a range close to the target is a clear reflection of the Central Bank's prudent monetary policy, guided by a risk management approach, and of well-anchored inflation expectations. In this context, I consider the decision to keep the policy rate unchanged a rational and prudent step that best manages both upside and downside risks. I reaffirm that, in pursuit of the price stability objective, the Central Bank Board will continue to monitor economic developments and, when necessary, take appropriate action.

Board Member Artak Manukyan

In the context of forming a comprehensive understanding of recent economic and financial developments, I have considered a range of analyses describing these trends and assessed the primary sources of potential risks and uncertainties. Based on this assessment, I voted in favor of raising the refinancing rate by 25 basis points. At this stage, I assess that the likelihood of Case A-type risks materializing has increased. Accordingly, guided by the "least regret" principle of risk management, I find it appropriate to pursue a tighter monetary policy stance than currently anticipated by the market. Based on a careful examination of the data, I have come to the conclusion that domestic demand in Russia may weaken considerably, as the effectiveness of Western sanctions gradually increases and economic policy becomes more restrictive. On the other hand, the gradual expansion of various alternative import and export routes may reduce Armenia's share in Russia's external trade flows, further deepening the decline in income stemming from weakening external demand. Domestically, economic activity is strong, with inflation still remaining above the target. In the composition of economic growth, the construction and services sectors have seen notable increases. In particular, it is worth noting that construction volumes have increased across all financing sources, including the state budget, corporate funds, and household resources. This is accompanied by an increase in aggregate demand, as reflected in the double-digit growth of lending volumes. In addition, there are signals of sustained growth in the services sector, particularly in tourism, driven by a significant increase in tourist inflows from new, non-traditional markets, which can stimulate demand and contribute to an inflationary environment. All of this suggests that the output gap is somewhat positive. Considering current inflationary and ongoing economic developments and their macroeconomic outlook, as well as being guided by a broader assessment of underlying conditions, I emphasize the likelihood of Case A-type risks materializing at this stage and the need to manage their potential impact. In this context, I consider it more appropriate to pursue a somewhat tighter monetary policy stance than currently expected by the market. I reaffirm my commitment to the price stability objective. As a member of the Central Bank Board, I will continue to closely monitor economic developments and stand ready to take appropriate measures to ensure that the medium-term inflation target of 3 percent is achieved.

Board Member Levon Sahakyan

Considering the latest macroeconomic developments, evolving fundamentals, key risks, sources of uncertainties, and prevailing market expectations, I vote in favor of keeping the policy interest rate unchanged. Recently, there has been a certain increase in Case A type of risks, both in terms of their likelihood and the potential costs associated with an insufficient monetary policy response should they materialize. Current economic activity is accelerating, primarily driven by growing demand, while high credit growth rates persist. Among Case B-type risks, I view the potential macroeconomic effects of rapid adjustments in the real estate market and construction sector as important to monitor. However, recent developments indicate a weakening of the signals pointing to the materialization of such risks. Therefore, from the perspective of the policy decision, I find the management of Case A type of risks to be of primary importance at this stage. This implies a policy rate path higher than current market expectations. In my assessment, such an approach is necessary to safeguard price stability in the context of the current risk environment.

Board Member Narek Ghazaryan

Based on discussions held with fellow Board members during the policy round, an assessment of current economic developments and underlying fundamentals, as well as a comprehensive evaluation of key sources of risks and uncertainties, I vote in favor of maintaining the policy rate unchanged. My decision is based on the conviction that, from a monetary policy perspective, several key indicators currently remain stable or close to their target levels, while potential inflationary (Case A) and disinflationary (Case

B) risks over the foreseeable future are broadly balanced in terms of their impact on inflation. In particular, the twelve-month inflation recorded in recent months has remained close to the CBA's target. The currently observed high economic growth does not appear to be deviating from its potential level to a concerning extent, while the current refinancing rate of 6.75 percent is assessed to be close to the neutral rate. Alongside the recent decision to maintain the key monetary policy rate unchanged, I remain particularly concerned about several Case A-type risks and potential inflationary scenarios in the medium term, the combined effect of which on Armenia's inflation I assess to be greater than that implied by similar expectations of market participants. Elaborating further on what I view as the prevailing Case A risks, I would note that in the event of geopolitical escalations and the materialization of negative supply shocks, significant price increases could be realized for a range of tradable food and non-food goods in global markets, which may quickly transmit to Armenia's consumer market. A further Case A-type risk remains the potential tightening of trade policy (tariff hikes) by the U.S. government, along with retaliatory measures by the countries targeted by that policy. Despite ongoing negotiations toward a resolution of the Russia–Ukraine conflict, the sanctions imposed on Russia remain in effect. Should this situation persist, it could lead to an acceleration in capital inflows into Armenia, which may in turn drive a rapid increase in private spending and create inflationary pressures in the domestic market. Alongside the external sector risks outlined above, there are also inflationary risks arising solely from developments within Armenia's domestic economy. These include the potential for an increase in fiscal stimulus, continued expansion of export-oriented sectors, and sustained high rates of credit growth to households and firms. These factors could further accelerate the observed growth in domestic demand, creating additional and more persistent inflationary pressures. Turning to several Case B risks present over the policy horizon, one should note the possibility of a sharp correction in overvalued asset prices in the U.S. economy. If accompanied by a decline in business and consumer confidence, such a correction could lead to a significant contraction in U.S. economic activity. This scenario has become more plausible in light of the economic indicators published in July and August concerning the U.S. economy. At the same time, the continued low inflationary environment in China, along with the persistence of policies aimed at expanding Chinese export markets, may deepen disinflationary pressures across several global economic regions. Should a scenario materialize in which a significant portion of sanctions on Russia are lifted, there could be a reduction in capital inflows to Armenia, which have increased in recent years, ultimately leading to a slowdown in domestic economic activity and creating disinflationary pressures stemming from weakened internal demand. Among domestic Case B risks, one of particular importance is a scenario in which the higher than expected level of activity in Armenia's real estate market experiences a rapid slowdown. If materialized, such a development would significantly decelerate aggregate domestic demand, resulting in disinflationary pressures. Taking into account the above-described Case A and Case B risks, I am convinced that the refinancing rate should remain unchanged at the current level of 6.75 percent in order to maintain inflation close to the Central Bank's target over the medium term. I reaffirm my commitment to the price stability objective and express my readiness to respond with appropriate measures to any new information that may pose a risk to maintaining 3 percent inflation and ensuring price stability over the medium-term horizon.



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